

“Within electronics industry, EMS has emerged as the fastest growing segment, with leading international players setting up base in India. Trends indicate an increasing preference for outsourcing engineering & design work, with EMS providing the final integration services as well.”



—Indeevar G., GM-Sales & Marketing, Amara Raja

narios from which the ideal strategic solution can be selected.

Need of the hour...

India offers economies of scale due to its large market. However, the current value addition is low (less than 17 per cent) due to lack of intellectual property management and manufacturing ecosystem. Given the lower income base for majority

of the population, products need to be customised for the Indian market (good quality at low cost).

While assessing the support level from the government, the survey revealed that there is a strong demand for a strategic policy to recognise and nurture the branded manufacturing sector. None of the executives believed in direct subsidy in the form of grant. Rather, they



“Our customer base is quite strong, yet we are planning to expand it to the promising sectors like telecom and power. Sales force productivity is an important parameter in our growth strategy. We use a unique combination of sales automation tools and the manual approach for better customer relationship management.”

—Anil Batra, CEO, Indian Technological Products

“In renewable energy the products with high market potential are—high efficiency solar/wind hybrid inverters, storage battery bank management solutions, solar/wind charge controllers, intelligent energy efficient lighting, refrigerating, air-conditioning, heating systems to work on off-grid power, and portable electronics equipment working on solar rechargeable battery systems.”



—Avinash N. Patkar, CSO and Head-SHE, TATA Power

Companies included in this survey

A.V. Systems, Accurex Solution, Advance Tech, Agilent Technologies, Amara Raja, American Tech, Amphenol, APW-President, Arrow Electronics, Axiom Energy Conversion, Axis, Bose Research, Cadence, CDIL, Cermet Resistors, Chandra Electronics, CSIL, Deepakshshi, Deki Electronics, DVS India, ECIL, Elcompo Group, Epcos, Exide, Freescale, Graftec, HCL Infosys, Hi-Rel, Hical, Hita Power, Hobnob Electronics, Huawei, Hughes Systique, Hynetic, Indian Technological Products, Juki, LG India, Maxim SMT, Meco, Moser Baer, National Instruments, Navion, Neural System, Omega Products, Omniscent, Onyx components, PCI, Panasonic, Radhika Agencies, Regnant, Reliance Industries, Rockwell Automation, S.S. Mobile Technology, Samtek Electronics, Sanstar, Schurter Electronics, Scientific Mes Technik, Servomax India, Singodia Electronics, SLN Technologies, SM Electronics, Sony, Sparsh Security, Stead Electronics, TATA Power, TCIL, TCS Technology, Tektronix, Texas Instruments, TNS Networks, Tyco Electronics, Vital Electronics, Wago & Controls, Yogasa Systems

expect various tax incentives as well as easing of import restrictions for machinery and tools.

According to Ashok Kale, director, Sanstar, the lower limit of excise duty exemption should move up to Rs 15 million from the existing limit of Rs 15 million to support SMBs. Public-private joint ventures are also welcome, especially in power generation, infrastructure and security sectors.

It will be a smug hindsight to predict that the Indian electronics sector is expecting a support level comparable to other South Asian countries. The government-funded IP bank of Japan and investment of the Chinese government are the suggested models to be followed. ●

The author is a consultant—editorial, industry and academia interface at EFY